

A. Lakshmi Narayana Reddy vs V. Siva Rami Reddy on 14 December, 2023

THE HON'BLE SRI JUSTICE V.GOPALA KRISHNA RAO

APPEAL SUIT No.731 OF 2006

JUDGMENT :

-

This Appeal, under Section 96 of the Code of Civil Procedure [for short 'the C.P.C.'], is filed by the Appellant/plaintiff challenging the Decree and Judgment, dated 19.06.2006, in O.S. No.18 of 2005 passed by the learned Additional Senior Civil Judge, Nandyal [for short 'the trial Court']. The Respondent herein is the defendant in the said Suit.

2. The Appellant/Plaintiff filed the Suit for recovery of a sum of Rs.5,47,132/- being the principal and interest due on a receipt dated 02.11.2001 for Rs.3,18,100/- executed by the defendant agreeing to repay the same with interest at 24% p.a.

3. Both the parties in the Appeal will be referred to as they are arrayed before the trial Court.

4. The brief averments of the plaint, in O.S. No.18 of 2005, are as under:

The defendant borrowed an amount of Rs.3,18,100/- from the plaintiff on 02.11.2001 and executed a receipt, on the same day 2 VGKRJ AS 731 of 2006 agreeing to repay the debt with interest at 24% per annum within a week. But the defendant did not repay the principal amount within a week. Though the plaintiff orally requested number of times to execute promissory note in the place of suit receipt, the defendant postponing the same on one pretext or other. On 11.10.2004, the plaintiff got issued a legal notice to the defendant, the defendant got issued a reply on 18.10.2004 with all false allegations. To that reply, the plaintiff got issued another reply notice on 20.10.2004. Again on 01.11.2004, the defendant issued a reply notice to the plaintiff with false allegations. Hence the plaintiff is constrained to file the suit.

5. The defendant filed a written statement by denying all the averments mentioned in the plaint and further contended as under: -

The plaintiff is brother of one Ambati Pedda Lakshmi Reddy, who is the proprietor of Sri Vijaya Lakshmi Agencies. The plaintiff used to manage the said agency. The defendant previously had business transactions in respect of fertilizers and pesticides with plaintiff and his nephew. The defendant availed some tins of pesticides from Sri Vijaya Lakshmi Agencies, Nandyal on 02.11.2001, the total bills is Rs.8,100/-, the nephew of the plaintiff 3 VGKRJ AS 731 of 2006 passed delivery challan bearing 1/40

dated 02.11.2001 from Sri Vijaya Lakshmi Agencies. The said delivery challan is for Rs.8,100/-.

It is in the hand writing of plaintiff's nephew and it bears his signature. The plaintiff, who was managing the said agency, obtained defendant's signature on blank printed receipt by entering date and amount of Rs.8,100/-. The date and amount in the receipt was written by plaintiff's nephew. It is practice in business to obtain blank printed receipts by entering the date and amount only for security of repayment. As the defendant availed product on credit basis, as per business norms, he made his signature on blank printed receipt, which is containing the date and amount of Rs.8,100/-. The plaintiff, with the help of his nephew, with an intention to gain wrongfully, added '31' to '8,100' making it as Rs.3,18,100/-, hence, the suit receipt is a fabricated receipt. The defendant never received an amount of Rs.3,18,100/- under the alleged receipt and there are no demands to repay the same. So the alleged receipt is not supported by cash consideration and prayed the Court to dismiss the suit.

4 VGKRJ AS 731 of 2006

6. Based on the above pleadings, the trial Court framed the following issues:

(i) Whether the suit receipt is true, valid and supported by consideration?

(ii) Whether the plaintiff is entitled for recovery of amount?

(iii) To what relief?

(iv) Whether the suit receipt is materially altered by

adding '31' to '8100' making amount of Rs.3,18,100/-?

(v) Whether the suit receipt is promissory note?

7. During the course of trial in the trial Court, on behalf of the Plaintiff, PW1 and PW2 were examined and Ex.A1 to Ex.A6 were marked. On behalf of the Defendant DW1 was examined and Ex.B1 to Ex.B7 were marked.

8. After completion of the trial and hearing the arguments of both sides, the trial Court dismissed the suit with costs vide its judgment, dated 19.06.2006, against which the present appeal is preferred by the appellant/plaintiff in the Suit questioning the Decree and Judgment passed by the trial Court.

5 VGKRJ AS 731 of 2006

9. Heard Sri K.Rathanga Pani Reddy, learned counsel for appellant/plaintiff. None appeared for respondent/defendant.

10. Having regard to the pleadings in the Suit and the findings recorded by the trial Court and in the light of rival contentions and submissions made before this court, the following point would arise for determination:

Whether the decree and judgment passed by the trial court needs any interference?

11. Point :

It is the case of the plaintiff that on 02.11.2001 the plaintiff advanced loan of Rs.3,18,100/- to the defendant and the defendant executed a receipt by acknowledging the same in favour of the plaintiff on the same day and also promised to repay the same with interest at 24% p.a. within a week and he did not choose to repay the principal amount within a week and the plaintiff orally requested the defendant in number of times to execute the promissory note in the place of suit receipt dated 02.11.2001. The defendant postponed the same on some pretext or other and in spite of issuance of legal notice also the defendant did not come forward and issued a reply 6 VGKRJ AS 731 of 2006 notice with false allegations and that the plaintiff is constrained to file the suit.

12. The defendant is disputing the borrowing of amount from the plaintiff. According to the plaintiff, the defendant borrowed Rs.3,18,100/- from the plaintiff on 02.11.2001 and executed a receipt by acknowledging the same in favour of the plaintiff and also promised to repay the same within one week. The alleged receipt dated 02.11.2001 is not at all marked as exhibit before the trial Court. It is the defense of respondent/ defendant that the said receipt is inadmissible document because it is not stamped. The material on record reveals that the alleged receipt under which the plaintiff lend the amount to the defendant is not stamped, therefore, it is hit by Section 35 of Stamp Act, hence the said receipt is not admissible and evidence cannot be let in support of its transaction as required under Section 91 of Indian Evidence Act. When a receipt is not stamped, it is inadmissible in evidence, for any purpose the same should be neither received as evidence nor acted upon.

7 VGKRJ AS 731 of 2006 In a case of Sheo Nath Prasad vs. Sarjoo Nonia and others¹, the Full Bench of Allahabad High Court held as follows:

"... the document alleged to be a pronote is inadmissible in evidence because it is insufficiently stamped or not stamped at all the position is different under Section 35, Stamp Act, no instrument chargeable with duty shall be admitted in evidence for any purpose by any person having by law or consent of parties authority to receive evidence, or shall be acted upon, registered or authenticated by any such person or by any public officer, unless such instrument is duly stamped. It was held in *Mt. Bibbo v. Gokaran Singh* MANU/UP/0038/1936 : AIR1937All101 that a promissory note insufficiently stamped was inadmissible in evidence for any purpose. When a document relied on as evidence by either party is considered by a Court to be inadmissible in evidence, under O.13, B.6, Civil P. C., a certain endorsement has to be made on it together with a statement of its having been rejected and under Rule 7(2)

documents not admitted in evidence shall not form "part of the record and shall be returned to the persons respectively producing them...."

In a case of Lothamasu Sambasiva Rao vs. Thadwarthi Balakotiah 2 , the Full Bench of composite High Court of Andhra Pradesh held as under:

AIR 1943 ALL220 AIR 1973 AP 342

8 VGKRJ AS 731 of 2006 "If the promissory note is inadmissible under Section 35 of the Stamp Act and the terms cannot be proved by other evidence as per the provisions of Section 91 of the Evidence Act, in the first of the categories detailed above, where the promissory note is executed to evidence and antecedent debt the promissory note need not be looked into all as independent evidence with regard to an antecedent debt can be let in".

Here in the case on hand, the contention of the plaintiff is that the defendant borrowed an amount of Rs.3,18,100/- on 02.11.2001 and executed a receipt on the same day. Admittedly, the said alleged receipt is not marked as exhibit before the trial Court, therefore, the same cannot be looked into. Another defense taken by the defendant is that he signed on the receipt for an amount of Rs.8,100/- by mentioning the date 02.11.2001 as he was due under the invoice to the plaintiff in some other transaction and there was exchange of notices between the parties and in the meanwhile the plaintiff in order to gain wrongfully fabricated the suit receipt with the help of his nephew by name S.Keshava Reddy by adding letters '31' before '8100' making a sum of Rs.3,18,100/-. The case of the plaintiff is also that the said Keshava Reddy is the scribe of the alleged receipt. To prove the said alleged receipt, the plaintiff 9 VGKRJ AS 731 of 2006 examined the said Keshava Reddy as PW2. As stated supra, the alleged receipt under which the defendant alleged to be borrowed is not at all marked as exhibit before the trial Court because it is inadmissible in evidence, therefore, no importance will be given to the evidence of PW2. Moreover, the alleged receipt cannot be looked into because it is not marked as exhibit and it is inadmissible in evidence. Therefore, in view of the reasons stated above, the contention of plaintiff failed that the defendant borrowed an amount of Rs.3,18,100/- from the plaintiff on 02.11.2001 and executed a receipt by evidencing the borrowing of the said amount is not at all proved by the plaintiff.

13. For the foregoing reasons, I hold that, on appreciation of entire evidence on record, the trial Court rightly dismissed the suit, therefore the decree and judgment passed by the trail Court is perfectly sustainable under law and it requires no interference.

14. In the result, the Appeal Suit is dismissed confirming the decree and Judgment dated 19.06.2006, in O.S.No.18 of 2005 10 VGKRJ AS 731 of 2006 passed by the learned Additional Senior Civil Judge, Nandyal. No order as to costs.

As a sequel, miscellaneous petitions, if any, pending in the Appeal shall stand closed.

V.GOPALA KRISHNA RAO, J Date: 14.12.2023 sj 11 VGKRJ AS 731 of 2006 THE HON'BLE SRI JUSTICE V.GOPALA KRISHNA RAO APPEAL SUIT No. 731 OF

2006 Date: 14.12.2023 sj